Citigroup Inc (C)

Rating: Buy (Apr 2025)

Valuation Metrics	Value
Stock Price (04/19/25)	$63
52 Week Range	$53 - $84
1 Year Target Price	**$107**
Expected Return	***69%***
Sector	Banking
Market Cap	118.13B
Enterprise Value	383.50B
Shares Outstanding	1.88B
Dividend Yield	*3.54%*
Trailing P/B	0.61x
Forward P/B	0.54x
Return on Equity (TTM)	*6.44%*
Return on Assets (TTM)	*0.54%*
Short % of Float	2.10%
Sector P/B	1.14

Executive Summary

Citigroup Inc. is the third largest bank holding company in the U.S with an asset of $2.3 trillion as of Q4 2024. It is recognized as a Globally Systematically important Bank (G-SIB). The bank holding company is regulated by the Federal Reserve Board (FRB) and its financial subsidiary banks are supervised by the Office of the Comptroller of the Currency (OCC). The company operates in over 150 countries, offering a broad range of financial services.

Financial Performance (2023-2024): As of December 2024

- Revenue: Revenue of $84 billion increased 3% year-over-year in 2024.
- Expenses: Operating expenses of $54 billion decreased 4% over the same period.
- Net Earnings per Share (EPS): $5.94
- Total Deposits: $1.3 trillion (down 2% vs the previous year)
- Total Loans: $694 billion (up 1% vs the previous year)
- Total Investment Assets: $476 billion and trading assets: $442 billion.
- Common Equity Tier 1 (CET1) Capital Ratio: 13.6% (Dec 31, 2024, up from 13.3% in 2023.
- Executive compensation: Jane Fraser's (CEO) total compensation was $26 million as of December 31, 2024.
- Cash flows (2024): Net cash flow from operating activities: $17 billion, net cash used in investing activities: ($3.4 billion), and net cash used in financing activities: ($13.7 billion).
- Dividends: Planned quarterly common dividend of at least $0.53 per share in 2024.
- Future growth areas: Relaunched the consumer loan securitization program in Q3 2023, resulting in a $7.5 million gain.

Business overview

Citi operates five business lines: Services, Markets, Banking, Wealth, and U.S. Personal Banking. Services and Markets contribute over 90% of total revenue, with Services generating fees from cash management and custody, while Markets profits from trading spreads and securities financing. The remaining three lines—Banking (corporate lending & advisory), Wealth (private banking & investment management), and U.S. Personal Banking (consumer lending & credit cards)—complement Citi's diversified financial model.

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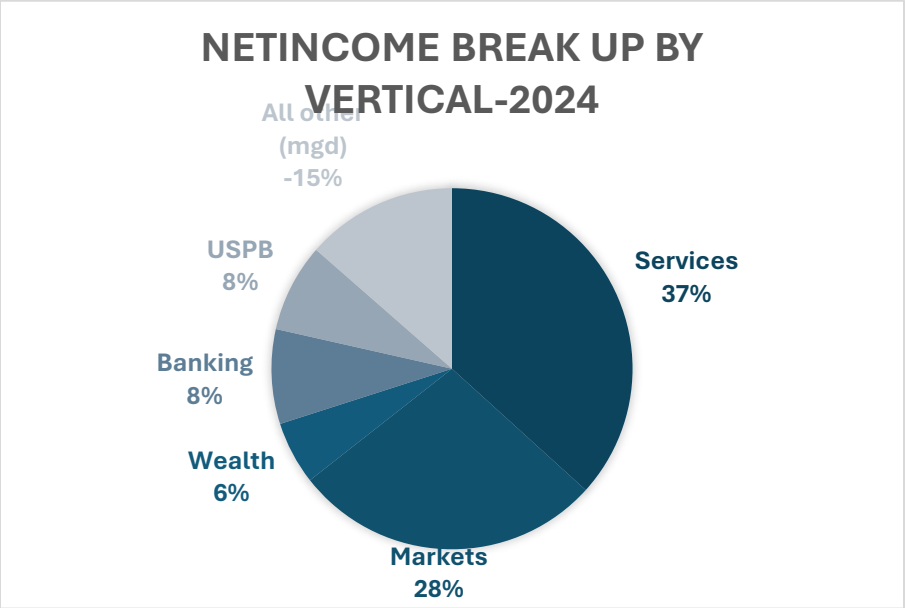


- Services – Provides cash management, trade finance, and securities services to corporations and institutions. Makes money from managing and moving cash from large clients. Earns fees on transactions, custody, and clearing, plus interest spread on deposits.
- Markets – Acts as market maker. Facilitates sales & trading across equities, fixed income, FX, and commodities. Profits from bid-ask spreads, trading gains, and financing solutions for institutional clients.
- Banking – Includes investment banking and corporate lending. Earns from advisory & underwriting fees on M&A and capital markets deals and interest income from loans to corporate clients.
- Wealth – Offers private banking, wealth advisory, and investment management. Generates revenue from asset management fees, commissions, and lending to high-net-worth clients.
- U.S. Personal Banking (USPB) – Provides consumer lending via credit cards, mortgages, and small business loans. Makes money through interest income on loans and transaction fees.

Industry analysis

Citigroup operates in the U.S. and global banking sector alongside key players like JPMorgan Chase, Bank of America, and Wells Fargo. It holds around 10% of U.S. deposit market share, with the overall market cap exceeding $110 billion. The banking industry is heavily regulated under Basel III, Dodd-Frank, and CCAR stress testing.

Figure: Top eight banks in the U.S

Rank	Name	Location	Total Assets (USD)
1	JPMORGAN CHASE & CO.	NEW YORK, NY	4.0T
2	BANK OF AMERICA CORPORATION	CHARLOTTE, NC	3.2T
3	**CITIGROUP INC.**	**NEW YORK, NY**	**2.3T**
4	WELLS FARGO & COMPANY	SAN FRANCISCO, CA	1.9T
5	GOLDMAN SACHS GROUP, INC., THE	NEW YORK, NY	1.6T
6	MORGAN STANLEY	NEW YORK, NY	1.2T
7	U.S. BANCORP	MINNEAPOLIS, MN	0.6T
8	PNC FINANCIAL SERVICES GROUP, INC., THE	PITTSBURGH, PA	0.5T

Source: FFIEC.gov [2]

The following table shows a comparison of profits margins and capital adequacy ratios (referred to as CAR ratio) per recently published CCAR results from Fed. Of all the three peer

banks, JPM has the highest capital cushion. PNC given the lowest capital cushion, is dependent on the market interest rates and upcoming regulations on the unrealized gains.

Stock	CAR Ratio% (CET1 [3])	Allowance% assets	Remarks
JPMorgan Chase & Co. (JPM)	15%>13.4%	1.74%	High capital cushion
Citigroup Inc. (C)	**13.4%>11.1%**	**2.60%**	Medium capital cushion
PNC Financial Services Group Inc. (PNC)	9.9%-> 8.3%	1.42%	Extremely low capital cushion

Source: Analyst

The following table shows the minimum prescribed capital and leverage ratios by the regulators. It can be observed that the Citi Bank is well over the prescribed ratios during the stress testing published by the Federal Reserve in FY24.

Bank	Common equity tier 1 capital ratio			Tier 1 capital ratio			Total capital ratio			Tier 1 leverage ratio			Supplementary leverage ratio[1]		
	Actual 2023: Q4	Ending	Mini-mum	Actual 2023: Q4	Ending	Mini-mum	Actual 2023: Q4	Ending	Mini-mum	Actual 2023: Q4	Ending	Mini-mum	Actual 2023: Q4	Ending	Mini-mum
Ally	9.4	7.1	7.0	10.8	8.5	8.5	12.4	10.1	10.1	8.7	6.8	6.8			
American Express	10.5	11.8	9.4	11.3	12.5	10.2	13.1	14.4	12.0	9.9	10.9	8.7			
Bank of America	11.8	9.3	9.1	13.5	11.0	10.8	15.2	12.9	12.8	7.1	5.8	5.7	6.1	4.9	4.8
Bank of NY-Mellon	12.0	14.8	12.2	14.8	17.6	15.0	15.8	18.6	16.2	6.0	7.1	6.1	7.4	8.7	7.5
Barclays US	13.7	11.1	9.5	15.1	12.6	11.0	16.9	14.5	13.0	8.5	7.0	6.0	6.0	5.0	4.3
BMO	10.5	5.0	5.0	11.1	5.7	5.7	12.9	7.6	7.6	8.3	4.1	4.1	7.2	3.6	3.6
Capital One	12.9	7.6	7.6	14.2	9.0	9.0	16.0	10.8	10.8	11.2	7.0	7.0	9.6	6.0	6.0
Charles Schwab Corp	24.5	27.3	25.2	31.7	34.5	32.4	31.7	34.8	32.5	8.5	9.3	8.7	8.5	9.3	8.7
Citigroup	13.4	11.1	9.7	15.0	12.8	11.4	17.6	15.4	14.1	7.2	6.0	5.3	5.8	4.9	4.3
Citizens	10.6	6.5	6.5	11.8	7.7	7.7	13.7	9.7	9.7	9.3	6.0	6.0			
DB USA	27.8	14.5	14.5	35.0	22.6	22.6	35.1	23.1	23.1	10.0	5.8	5.8	9.0	5.3	5.3
Discover	11.3	11.0	8.8	12.1	11.8	9.6	13.7	13.4	11.3	10.7	10.9	8.5			
Fifth Third	10.3	7.7	7.7	11.6	9.0	9.0	13.7	11.2	11.2	8.7	6.8	6.8			
Goldman Sachs	14.4	11.2	8.8	15.9	12.7	10.4	18.1	14.9	12.9	7.0	5.5	4.5	5.5	4.4	3.5
HSBC	11.8	6.7	6.7	13.4	8.3	8.3	15.5	10.6	10.6	6.3	3.8	3.8			
Huntington	10.2	8.5	8.4	12.0	10.2	10.2	14.2	12.4	12.4	9.3	7.6	7.5			
JPMorgan Chase	15.0	13.4	12.5	16.6	15.0	14.1	18.5	16.9	16.1	7.2	6.5	6.1	6.1	5.5	5.2
KeyCorp	10.0	7.4	7.4	11.7	9.1	9.1	14.2	11.5	11.5	9.0	7.0	7.0			
M&T	11.0	7.7	7.7	12.3	9.1	9.1	14.0	10.8	10.8	9.4	6.9	6.9			
Morgan Stanley	15.2	14.4	10.6	17.1	16.3	12.6	19.5	18.8	15.1	6.7	6.4	4.8	5.5	5.2	3.9
Northern Trust	11.4	11.6	11.4	12.3	12.5	12.3	14.2	15.2	15.1	8.1	8.2	8.1	8.6	8.7	8.6
PNC	9.9	8.3	8.3	11.4	9.8	9.8	13.2	11.6	11.6	8.7	7.5	7.4	7.2	6.2	6.2
RBC USA	15.7	9.4	9.4	15.7	9.4	9.4	16.3	10.6	10.6	11.0	6.3	6.3			
Regions	10.3	8.5	8.5	11.6	9.9	9.8	13.4	11.8	11.7	9.7	8.2	8.2			
Santander	12.4	10.1	10.1	14.3	12.0	12.0	16.4	14.2	14.2	9.8	8.4	8.4			
State Street	11.6	13.5	11.2	13.4	15.3	13.0	15.2	17.4	15.1	5.5	6.3	5.3	6.2	7.1	6.0
TD Group	17.1	14.8	14.8	17.1	14.8	14.8	18.3	16.0	16.0	9.1	7.9	7.9	8.2	7.1	7.1
Truist	10.1	7.9	7.9	11.6	9.5	9.5	13.7	11.9	11.9	9.3	7.5	7.5	7.9	6.4	6.4
UBS Americas	19.3	10.0	10.0	23.1	14.5	14.5	23.4	15.7	15.7	9.2	5.1	5.1	8.1	4.5	4.5
US Bancorp	9.9	7.6	7.5	11.5	9.2	9.1	13.7	11.3	11.3	8.1	6.4	6.3	6.6	5.2	5.2
Wells Fargo	11.4	8.1	8.1	13.0	9.7	9.7	15.7	12.4	12.4	8.5	6.2	6.2	7.1	5.2	5.2
31 banks	12.7	10.4	9.9	14.3	12.0	11.6	16.3	14.1	13.8	7.8	6.5	6.2	6.4	5.4	5.1

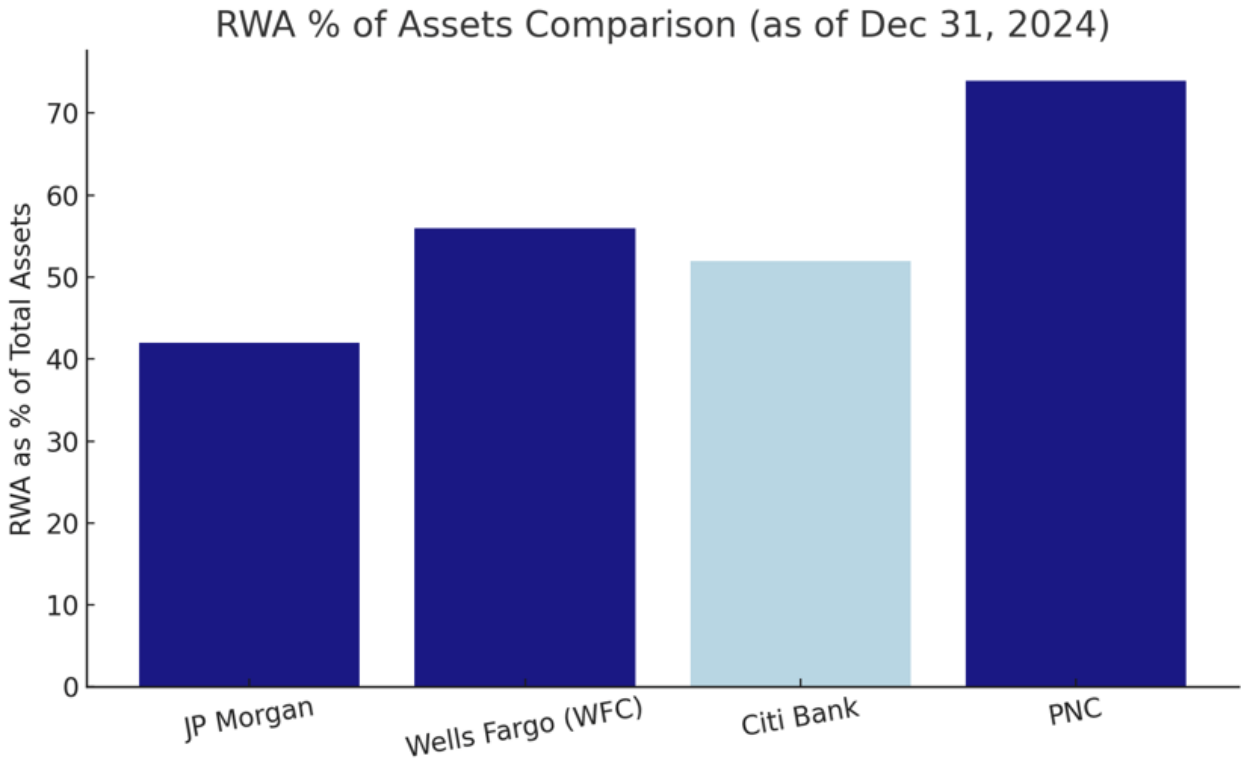
Source: *Supervisory Stress Test Results*, Jun. 2024.[3]

Citi Bank is well capitalized with CET1 ratio of 12.14% and a leverage ratio of 7.14% as of 12/31/2024. The regulatory prescribed CET1 ratio is 9.7% for Citi. Citigroup's adopted the Advanced Approach for RWA computation like most big banks in the U.S. The framework delivers a more capital-efficient balance sheet, with a 52% RWA-to-assets ratio versus. **By contrast, JPMorgan's industry-leading RWA modeling helped to achieve 42% RWA under the advanced approach, while Wells Fargo sits in the middle with 56% RWA and a 12.40% CET1 ratio.** These disparities underscore how sophisticated RWA calibration directly impacts capital requirements and return on equity: every percentage point reduction in RWA intensity can release billions in capital for growth initiatives or shareholder returns. As regulatory regimes evolve, banks that leverage advanced RWA models will maintain superior capital flexibility, lower funding costs, and a more resilient capital profile. We view Citi's RWA modeling capabilities as a key competitive advantage that supports its attractive valuation and long-term capital optimization.

Regulatory Ratios-Benchmarking

Bank Name	CET1%	Regulatory Min%	Leverage Ratio	RWA% Assets	RWA (Bn)	Assets(Bn)	CET1 (Bn)	RWA approach
JP Morgan	*15.01%*	12.50%	7.24%	*42.00%*	1,740	4130	251	Advanced
WFC	*12.40%*	8.10%	8.08%	*56.00%*	1,080	1900	135	Advanced
Citi Bank	*12.14%*	9.70%	7.17%	*52.00%*	1,280	2470	155	Advanced
PNC	*10.53%*	8.30%	9.02%	*74.00%*	422	556	44	Standard
Mean	***12.52%***	***9.65%***						
Median	***12.40%***	***9.70%***						

Source: Analyst based on the analysis of FRY9C Federal Reserve Returns [1]



Source: Analyst based on the FRY9C analysis [1]

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Financial Statement Analysis

Free Cash Flow to Equity (FCFE) valuation is chosen to align the usual FCFE model with bank's business model. Banks leverage issued debt and customer deposits—viewed as inventory—to generate interest income and optimize earnings. Reinvestments to meet regulatory capital requirements function as working capital, ensuring financial resilience and compliance.

VALUATION ANALYSIS-FCFE

$ Billion	Current			Projected		
	0.0	1.0	2.0	3.0	4.0	5.0
Free Cash Flow Equity Calculation	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Total Assets	$2,353	$2,375	$2,397	$2,420	$2,443	$2,466
Risk Weight %	*52%*	*52%*	*52%*	*52%*	*52%*	*52%*
Risk-adjusted assets	$1,224	$1,235	$1,247	$1,258	$1,270	$1,282
CET1 Ratio%	*13.63%*	*13.63%*	*13.63%*	*15.00%*	*15.00%*	*15.00%*
CET1 Captial	$167	$168	$170	$189	$191	$192
Change in regulatory capital		$2	$2	$19	$2	$2
Book equity	$209	$226	$244	$263	$283	$305
ROE	*6.33%*	*6.33%*	*6.33%*	*6.33%*	*6.33%*	*6.33%*
Expected growth in earnings	*4.12%*					
Net income	$13	$17	$18	$19	$20	$22
– Investment in regulatory capital		$2	$2	$19	$2	$2
=FCFE		**$15**	**$16**	**$0**	**$19**	**$20**
Terminal Value Calculation						
Terminal Value Growth Rate						*1%*
Projected Free Cash Flow						$20
Discount Rate (Cost of Equity)						14%
Terminal Enterprise Value						$154
Present value		$13	$12	$0	$11	$10
Cost of equity	*14.00%*	*14.00%*	*14.00%*	*14.00%*	*14.00%*	*14.00%*
Value of equity today	$201					
Number of shares outstanding	1.88					
Value per share	**$107**					
1Y Estimated return	69%					
Current share price (05/17/2025)	$63					

DCF Equity Sensitivity Analysis

		Cost of Equity	
Growth	*10.0%*	*14.0%*	*16.0%*
0.5%	139	104	92
1.0%	146	**107**	95
2.0%	162	115	101

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VALUATION ANALYSIS-FCFF

		2024	2025	2026	2027	2028	2029
			Projected				
		0	*1*	*2*	*3*	*4*	*5*
Free Cash Flow Calculation		-	-	-	-	-	-
EBIT			$22.2	$23.7	$25.3	$26.9	$28.7
Plus: Depreciation			0.0	0.0	0.0	0.0	0.0
Plus: Amortization			0.0	0.0	0.0	0.0	0.0
EBITDA			**22.2**	**23.7**	**25.3**	**26.9**	**28.7**
Less: Capex			(2.0)	(2.0)	(2.0)	(2.0)	(2.0)
EBITDA Less Capex			**20.2**	**21.7**	**23.3**	**24.9**	**26.7**
Less: Taxes on EBIT	23.8%		(4.8)	(5.2)	(5.5)	(5.9)	(6.4)
Less: Changes in Working Capital			0.0	0.0	0.0	0.0	0.0
Unlevered Free Cash Flow			**15.4**	**16.5**	**17.7**	**19.0**	**20.4**
DCF Enterprise Value Calculation		-	-	-	-	-	-
Terminal Value Calculation		-	-	-	-	-	-
Terminal Value Growth Rate							**2.0%**
Projected Free Cash Flow							20.8
Discount Rate (WACC)							6.0%
Terminal Enterprise Value							519.1
Implied Term. Value EBITDA Multiple							18.1x
Discounted Cash Flows at WACC							
Unlevered Free Cash Flow			14.5	14.7	14.9	15.1	15.2
Terminal Value							387.9
Total Discounted Cash Flows		**462.2**	14.5	14.7	14.9	15.1	403.1

(bn) Summary DCF Valuation (PreDeal)

DCF Enterprise Value	462bn	*$bn Implied EV/EBITDA*	
Less: Net Debt)	-305.45bn		27.1
Equity Value	157bn		
Shares bn	1.88	*Proj forward P/B*	83.4
DCF Value per Share	$83	*Proj forward P/E*	12.4

Source: Analyst

DCF Equity Sensitivity Analysis

	WACC		
Growth	*4.0%*	*6.0%*	*7.0%*
1.5%	241	60	18
2.0%	333	**83**	33
2.5%	488	114	52

The upward trend in Tier 1 ratios highlights Citigroup's commitment to a robust capital position, enhancing its ability to absorb potential losses. Under the advanced approach, the Tier 1 ratio slightly improved from **13.60% to 13.63%**, reflecting consistent capital adequacy despite growth in advanced RWA. **The advanced approach is the binding constraint for the capital ratios for the Citi Bank.**

CITIGROUP INC.	FY23	FY24
CET1 Capital - Standardized ($ Billion)	0.00	0.00
CET1 Capital - Advanced ($ Billion)	154	155
CET1 Ratio- Standardized (%)	*13.37*	*13.63*
CET1 Ratio - Advanced (%)	*12.11*	*12.14*
Tier1 Ratio- Standardized (%)	*15.02*	*15.31*
Tier1 Ratio- Standardized (%)	*13.60*	*13.63*
Total Assets ($ Billion)	2,436	2,473
Total RWA-Standardized ($ Billion)	1,149	1,140
Total RWA-Advanced ($ Billion)	1,269	1,280
Total Leverage Ratio	7.20%	7.17%
Binding constraint	Advanced	Advanced
RWA%Assets	52%	52%

Source: Analyst [1]

Banks typically hold a significant amount of debt, which includes issued debt and deposits. These deposits can be considered as working capital, crucial for generating earnings. The reinvestment in regulatory capital acts as an essential component of the bank's working capital. This capital is utilized to meet various banking needs, ensuring smooth operations and compliance with financial regulations. Consequently, managing this leverage efficiently is vital to maintaining the bank's overall financial health.

The following table shows the relative valuation for Citi Bank. The average median is used for these calculations. The lower end of the forecast for relative valuation is assumed to be 20% of the price multiple forecast. **The price forecast based on the P/B multiple is $133 - $107.**

Relative Valution-P/B	
Industry P/B	1.14x
Future BVPS	$116
Est 1Y Share price	$133
Current share price (05/17/2025)	$63
Current PB multiple	0.61x
Potential return	*110%*

Relative Valuation- P/E	
Industry P/E	11.75x
Future EPS	$9
Est 1Y Share price	$104
Current share price (05/17/2025)	$63
Current PE multiple	9.99x
	65%

Source: Analyst

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Projected Balance sheet and Income statement: The following tables show the project balance sheet and income statement for the Bank over the next five years. As expected, assets are primarily composed of loans and securities, while liabilities are dominated by deposits.

Forecasted Balance sheet

		USD Billion	Historical	Projected				
		Citi Bank- Balance Sheet Projection	31-Dec-24	31-Dec-25	31-Dec-26	31-Dec-27	31-Dec-28	31-Dec-29
Assets	TRBBB	1. Cash						
		a. Non-Interest Bearing	23	52	71	91	113	135
		b. Interest Bearing in U.S	120	119	120	122	123	124
		c. Interest Bearing outside the U.S	138	150	151	153	154	155
	Sec	2. Securities	0	0	0	0	0	0
		a. HTM Securities	242	253	256	258	260	263
		b. AFS Securities	223	238	240	242	244	247
		3. Reverse Repos	0	0	0	0	0	0
		a. Fed Funds sond	0	0	0	0	0	0
		b. Securities purchased (reverse repo)	274	325	328	331	334	337
	Loans	4. Loans and Lease Financing Rec	0	0	0	0	0	0
		a. Loans held for sale	4	8	9	9	9	9
		b. Loans held for investment	707	685	691	697	704	711
		c. LESS: ACL	(19)	(22)	(24)	(27)	(30)	(33)
		5. Trading Assets	440	391	395	399	403	406
		6. Fixed Assets	14	14	14	14	14	14
		7. Real Estate Owned Assets	0	0	0	0	0	0
		8. Investments in subsidiaries	6	6	6	7	7	7
		9. Investments in real estate ventures	0	0	0	0	0	0
		10.Intangible Assets	24	24	24	25	25	25
		11. Other Assets	156	153	154	155	157	158
		12. Total Assets	**2,353**	**2,375**	**2,397**	**2,420**	**2,443**	**2,466**
		--- Total Assets with balancing logic	**2,353**	**2,397**	**2,435**	**2,475**	**2,516**	**2,558**
Liabilities		**Liabilities**						
	Deposits	~~13. Deposits~~						
		Domestic Non-interest bearing Deposits	123	122	121	120	119	118
		Domestic interest bearing Deposits	552	546	541	536	531	526
		Foreign office non-interest bearing Deposits	84	84	83	82	81	80
		Foreign office interest bearing Deposits	526	521	516	512	507	502
		14. Securities purchases (Repos)	255	(20)	(21)	(21)	(21)	(21)
		15. Trading Liabilities	131	149	150	152	153	155
	Lt debt+Sh	16. Other borrow money (includes mortgage indebt and capitalized leases)	305	297	300	303	306	309
		17. Not Applicable	0	0	0	0	0	0
		18. Not Applicable	0	0	0	0	0	0
		19. Debt	0	0	0	0	0	0
		Subordinated notes and Debentures	29	25	25	26	26	26
		Subordinated notes payable and trust preferred securities by SPE	2	2	2	2	2	2
		20. Other Liabilities	136	136	136	136	136	136
		21. Total Liabilities	**2,144**	**2,171**	**2,191**	**2,212**	**2,232**	**2,253**
Equity		**Equity**						
		23. Perpetual Preferred Stock and applicable surplus	18	20	21	23	25	27
		24. Common Stock	0	0	0	0	0	0
		25. Surplus	109	120	129	139	150	161
		26.0	0	0	0	0	0	0
		26.a Retained earnings	206	220	237	255	275	296
		26.b Accumulate other comprehensive income	(48)	(51)	(55)	(59)	(64)	(69)
		26.c Other equity capital components	(77)	(83)	(89)	(96)	(104)	(112)
		27.0	0	0	0	0	0	0
		27.a Total Holding CET (sum 23 through 26.c)	209	225	243	262	282	304
		27.b Non controlling minorit interest in subsidiaries	1	1	1	1	1	1
		28. Total Equity Capital (sum of items 27.a and 27.b)	**209**	**226**	**244**	**263**	**283**	**305**
		29. Total Liability+Equity	2,353	2,397	2,435	2,475	2,516	2,558

Forecasted Income statement

	USD Billion	Historical	Projected				
	Citi Bank -Revenue Projection	**31-Dec-24**	**31-Dec-25**	**31-Dec-26**	**31-Dec-27**	**31-Dec-28**	**31-Dec-29**
Net Interest Income	1.Interest Income						
	a. Interest and fee income on loans						
	1.a.1 Loans secured by 1-4 family residential properties	5	5	5	5	6	6
	1.a.2 All other loans secured by real estate	3	3	3	3	3	4
	1.a.3 All other loans	38	40	42	44	46	48
	1.a.4 Loans made overseas	21	22	23	25	26	27
	b. Income from leasing and finance	0	0	0	0	0	0
	c. Income from balances due from depository institutions	11	12	13	13	14	15
	d. Income and dividend income from securities	0	0	0	0	0	0
	(1) UST	4	4	4	5	5	5
	(2) MBS	4	4	4	4	5	5
	(3) Other securities	10	11	12	12	13	13
	e. Interest income from trading assets	18	18	19	20	21	22
	f. Interest income reverse repo	29	31	32	34	35	37
	g. other interest income	1	1	1	1	1	1
	h. total interest income	**144**	**151**	**158**	**166**	**175**	**183**
	2. Interest Expense						
	a. Interest on domestic time deposits						
	(1) In domestic offices						
	(a) Time deposits <$250	2	2	2	2	2	2
	(b) Time deposits >$250 k	3	2	2	2	3	3
	(c) Other deposits	18	15	16	17	18	18
	(2) In foreign offices	18	15	16	17	17	18
	b. Expense on federal funds purchased and securities sold under agreements to repurchase	28	24	25	26	28	29
	c. Interest on trading liabilities and other borrowed money2	17	19	19	19	19	20
	d. Interest on subordinated notes and debentures and on mandatory convertible sec	2	1	1	2	2	2
	e. Other interest expense	5	4	5	5	5	5
	f. Total interest expense (sum of items 2.a through 2.e)	**92**	**79**	**82**	**87**	**91**	**95**

3. Net interest income (item 1.h minus item 2.f)	**52**	**72**	**76**	**80**	**84**	**88**
4. Provision for credit losses3	10	10	10	10	10	10
5. Noninterest income:						
a. Income from fiduciary activities	3	3	3	3	4	4
b. Service charges on deposit accounts-domestic	1	1	1	1	1	1
c. Trading revenue	17	18	19	20	21	22
5. d. Income from securities-related and insurance activities:	0	0	0	0	0	0
(1) Fees and commissions from securities brokerage	2	3	3	3	3	3
(2) Fees and commissions from Investment banking, advisory, and underwriting fees	4	4	5	5	5	5
(3) Fees and commissions from annuity sales	0	0	0	0	0	0
(4) Underwriting income from insurance and reinsurance activities	0	0	0	0	0	0
(5) Income from other insurance activities	0	0	0	0	0	0
(6) Fees and commissions from securities brokerage, investment banking, advisory, and	0	0	0	0	0	0
(7) Income from insurance activities5	0	0	0	0	0	0
e. Venture capital revenue	0	0	0	0	0	0
f. Net servicing fees	0	0	0	0	0	0
g. Net securitization income6	0	0	0	0	0	0
h. Not applicable.	0	0	0	0	0	0
i. Net gains (losses) on sales of loans and lease	0	0	0	0	0	0
j. Net gains (losses) on sales of other real estate owned	0	0	0	0	0	0
k. Net gains (losses) on sales of other assets7	0	0	0	0	0	0
l. Other noninterest income	1	1	1	1	1	1
m. Total noninterest income (sum of items 5.a through 5.l)	**29**	**31**	**32**	**34**	**36**	**38**
6. a. Realized gains (losses) on held-to-maturity securities	0	0	0	0	0	0
b. Realized gains (losses) on available-for-sale debt securities	(0)	(0)	(0)	(0)	(0)	(0)
7. Noninterest expense:						
a. Salaries and employee benefits	29	37	39	41	43	45
b. Expenses of premises and fixed assets (net of rental income)	2	3	3	4	4	4
c. (1) Goodwill impairment losses	0	0	0	0	0	0
(2) Amortization expense and impairment losses for other intangible assets	0	0	1	1	1	1
d. Other noninterest expense	23	30	31	33	35	36
e. Total noninterest expense (sum of items 7.a through 7.d)	**54**	**71**	**75**	**78**	**82**	**86**
8. a. Income (loss) before change in net unrealized holding gains (losses) on equity securities (sum 3, 5.m, 6.a, 6.b, minus item 4 and 7.e)	17	22	24	25	27	29
b. Change in net unrealized holding gains (losses) on equity securities not held for trading	0	0	0	0	0	0
c. Income (loss) before applicable income taxes and discontinued operations	**17**	22	24	25	27	29
9. Applicable income taxes (on item 8.c)	**4**	5	6	6	7	7
10. Income (loss) before discontinued operations (item 8.c minus item 9) .	13	17	18	19	20	22
11. Discontinued operations, net of applicable income taxes	(0)	0	0	0	0	0
12. Net income (loss) attributable to holding company and noncontrolling	13	0	0	0	0	0
13. LESS: Net income (loss) attributable to noncontrolling (minority) interests	0	0	0	0	0	0
14. Net income (loss) attributable to holding company (item 12 minus item 13)	**13**	17	18	19	20	22
15. Revenue	173	182	191	200	211	221
16. Shares outstanding	1.88	2	2	2	2	2
17. EPS	**5.94**	**9**	**9**	**10**	**11**	**12**

Source: Analyst [1]

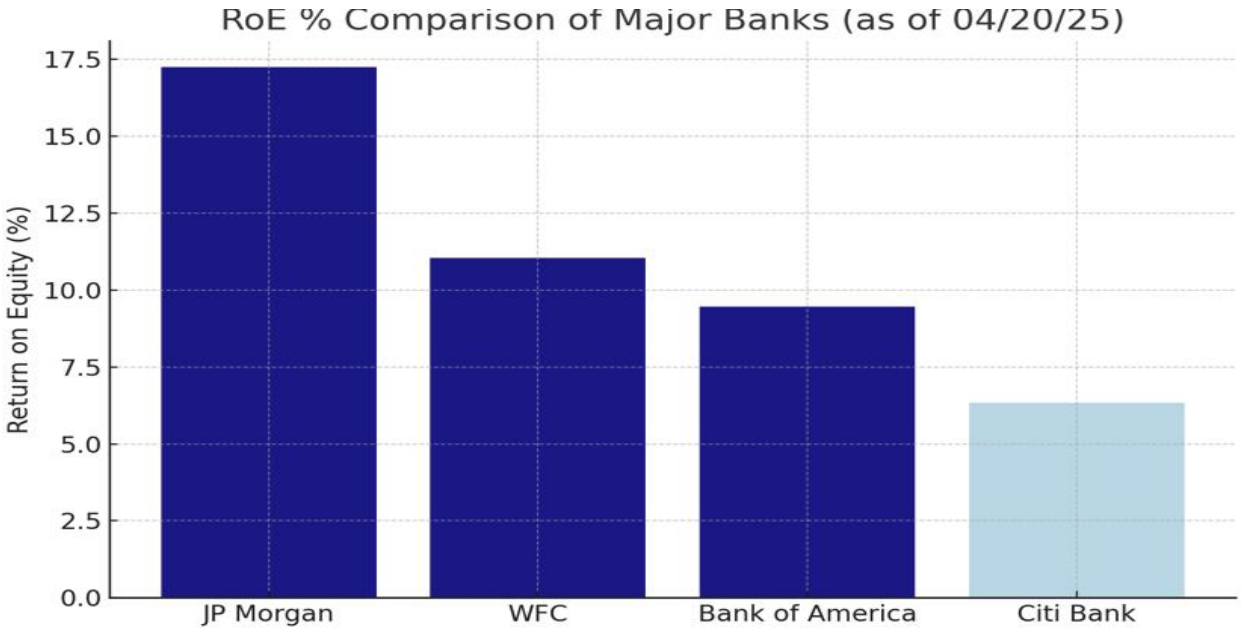
The following table compares the key ratios, historical valuation multiples, and various parameters of competitors within the industry. **It can be observed that citi Bank has the lowest price multiple relative to its competitors.**

Competition Analysis

Bank Name	RoE%	RoA%	Div Yield% (ttm)	NI	ESP (ttm)	P/E	P/B	Price 04/20/25
JP Morgan	*17.25%*	*1.41%*	2.18%	58.24B	20.37	11.39	1.95	$ 231
WFC	*11.05%*	*1.02%*	2.40%	18.91B	5.57	11.63	1.3	$ 65
Bank of America	*9.46%*	*0.84%*	2.90%	26.35B	3.35	11.17	1.03	$ 37
Citi Bank	*6.33%*	*0.53%*	3.49%	12.21B	6.35	9.96	0.61	$ 63
Mean	***11.02%***	***0.95%***	**2.74%**			**11.04**	**1.22**	
Median	***10.26%***	***0.93%***	**2.65%**			**11.28**	**1.17**	

Source: Finviz, Accessed: 04/20/2025

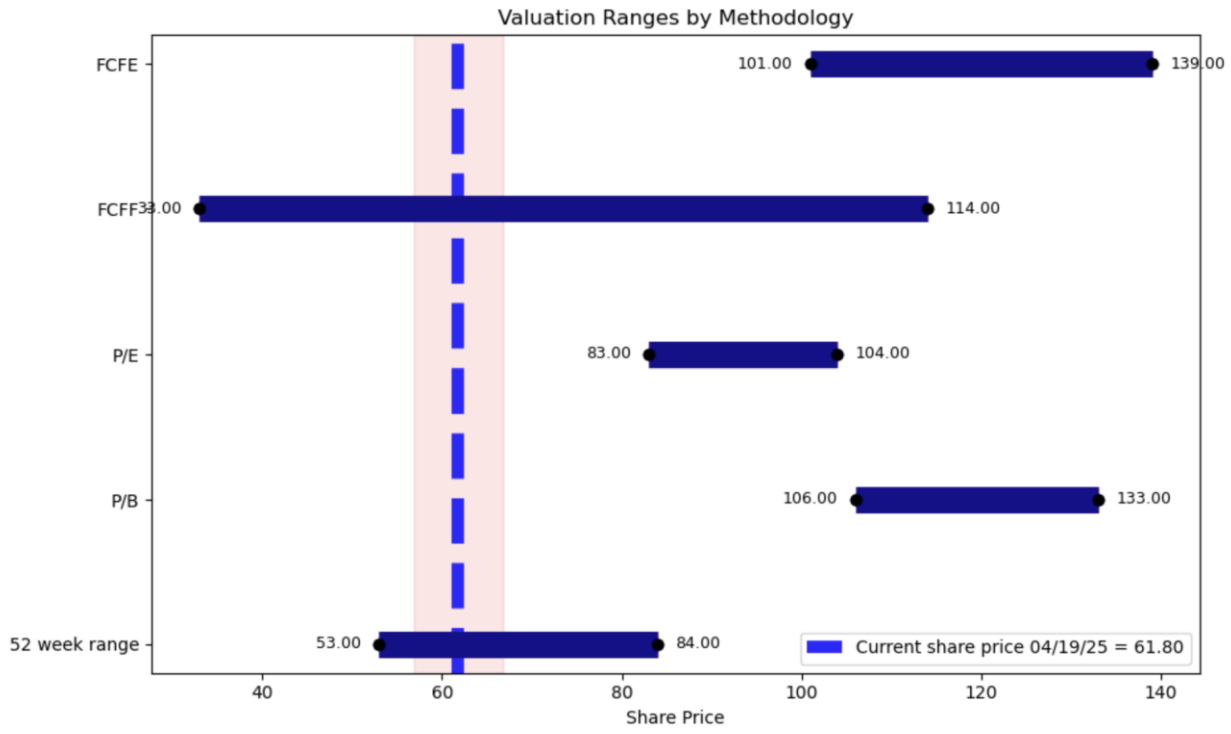
The chart compares the Return on Equity (RoE) across four major U.S. banks. JP Morgan leads with the highest RoE at 17.25%, indicating superior profitability. Citi Bank lags the group with a lower RoE of 6.33%, suggesting relatively lower returns on shareholder equity.



Source: Analyst [1]

Valuation

The following figure shows the relative valuation measure for the Citigroup. The P/B and DCF(FCFE) should be given more weightage over other relative valuation metrics such as EV/EBIDTA and P/E. Banks have very high financial leverage which makes the use of FCFF approach challenging. **FCFE provides a more accurate valuation for financial firms precisely because it doesn't artificially remove the debt effect that is central to their business model**. Also, the FCFE method aligns with how financial firms actually create value - by managing spreads, controlling risk, and deploying capital efficiently within regulatory constraints.

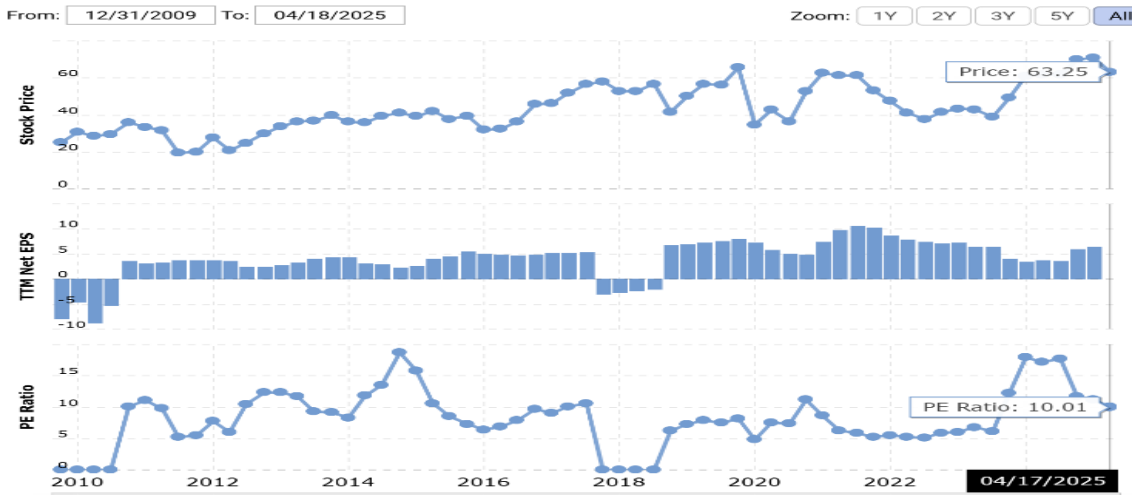


Source: Analyst

Margin of Safety

Our margin of safety is built on a set of deliberately conservative assumptions and strong fundamentals. We assume a terminal growth rate of just 1% per annum—well below long-term GDP trends—while applying a cost of equity of 14%, which is at the high end of typical ranges. Trading at a price-to-book ratio of only 0.69, the stock is valued well below its peers, offering significant downside protection. Finally, the company's capital buffers sit comfortably above regulatory minimums, ensuring ample resilience against unexpected market stress.

The figures below display the stock's historical trend from 2009 to 2025. It can be observed that the currently the stock is trading below the book value **(P/B 0.69)**, underscoring the value potential in the stock which would interest value investors like Mr.Graham and Mr.Buffet.



Source: Macrotrends [8]

Investment thesis

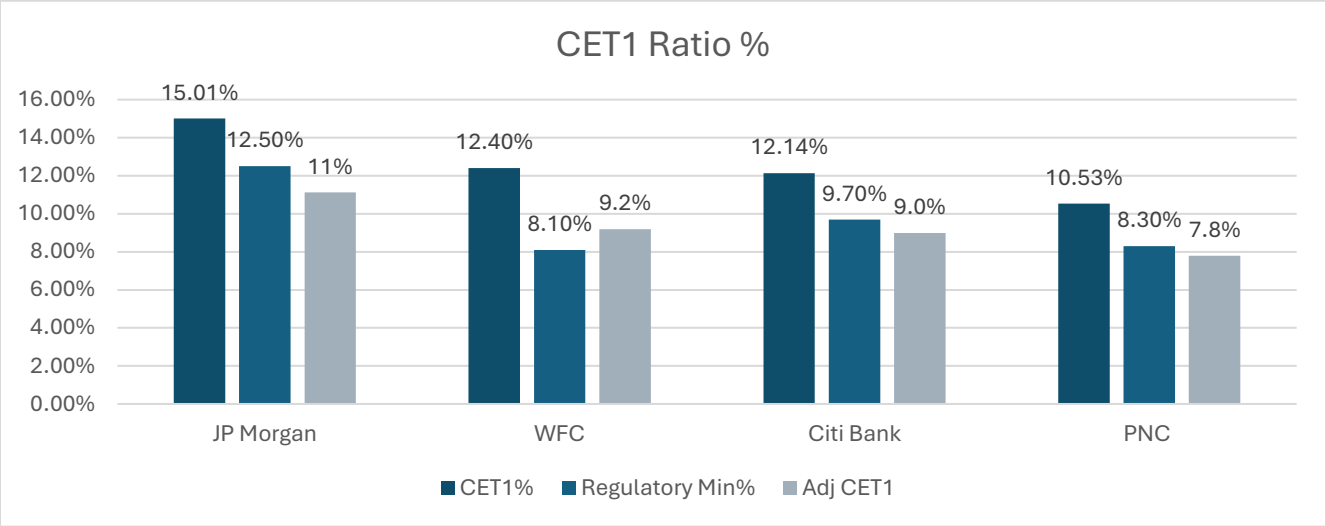
Our conservative valuation framework, built on a 1% terminal growth rate, a 14% cost of equity, a 0.69 price-to-book ratio, and robust capital buffers, provides a substantial margin of safety. At the same time, upcoming financial deregulation promises to unleash new growth opportunities across the industry. Recent divestitures in India, Russia, and Poland will streamline operations and reduce expenses, boosting profitability. By enhancing model efficiency to lower RWA-to-assets from its current 52%, the bank can materially strengthen its capital ratios without raising new capital. Additionally, a rebound in equity trading income offers a clear path to higher net earnings. These combined factors support the thesis that valuation multiples will expand meaningfully as the market recognizes both the bank's prudently managed downside and its clearly visible upside catalysts.

The following factors are positively contributing to higher multiples in the near future:

(1) Financial deregulation is expected to benefit, benefiting the financial industry
(2) Reduced operating expense from the divestitures. Citi group has existed from India, Russia, and Poland
(3) **Citi Bank can easily improve its capital ratios by increasing its modeling efficiency**. For example, 52% RWA as a percentage of assets is the most conservative (lowest performance) among all the big banks.
(4) A higher trading income from equity segment can help the bank to post higher net income.

Risks

The proposed roll out of Basel III end game could adversely affect the capital ratios for the entire banking industry. The Citi Bank would need additional capital if regulation is rolled out. Under B3E, the CET1 ratio for Citi Bank can fall below the regulatory minimum of 9.70%[1].



Source: Analyst

Citigroup is perennially undervalued with a five-year historical PE multiple of 8.5 and PB multiple of 0.6X. The current price multiples are not different from the historical valuation P/E and P/B multiple that may limit the upside potential for the stock.

Valuation

Calendar	2018	2019	2020	2021	2022	2023	2024	Current	5-Yr	Index
Price/Sales	1.82	2.18	1.65	1.76	1.32	1.04	1.69	1.61	1.50	2.80
Price/Earnings	—	9.08	11.59	5.79	6.72	6.52	20.29	11.53	8.50	24.27
Price/Cash Flow	6.97	3.26	3.46	6.15	—	1.75	5.78	3.31	—	16.97
Price/Book	0.72	0.84	0.70	0.66	0.54	0.41	0.69	0.68	0.60	4.22

Source: Macrotrends [5]

Shortage of capital allowance in uncertain times: As of the fourth quarter ended December 31, 2024, Citigroup reported an allowance for credit losses of $19 billion. Insufficient allowances relative to potential credit stress could weigh negatively on the firm's valuation. Additionally, escalating global uncertainties, including the risk of a renewed tariff war, could trigger a recessionary environment, further weakening the quality of the loan book. A deterioration in credit performance, coupled with limited provisioning, poses a material downside risk to future earnings and capital strength.

[1] The key factor that could affect the capital ratios under B3E is the allocation of capital for operational risk. Operational risk is assumed to increase the total RWA by 35%.

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